

Borrowing from Your 401(k)

Most 401(k) plans include a loan feature that allows you to borrow money from your retirement account and repay it in five years or less at an interest rate determined by your plan administrator, usually a couple of points above the prime rate. Most plans with a loan feature allow you to borrow half of your balance, up to \$50,000.



Using your 401(k) to pay off debts is dangerous. Your 401(k) is there to help you in future years. If you start spending that money now, you might end up with nothing in retirement. It's harder to borrow, cut costs, and work more hours in retirement.

Paying Yourself Back

Since you pay the interest back into your own 401(k) account, you may think you can't go wrong with a 401(k) loan, but it's not quite that simple. Taking money out of your account could have a significant impact on your retirement income even though you pay the money back, because you have less money invested to earn interest and dividends or appreciate in value. There could be a double whammy if you reduce your contributions to the plan because you can't afford to make contributions in addition to the loan payments. Even if your loan is repaid in one year, going that long without new contributions will have a long-term impact on how much you accumulate by the time you reach retirement age.

The Danger of Changing Jobs